

कार्यालय प्रधान महालेखाकार (लेखापरीक्षा)
हिमाचल प्रदेश, गॉर्टन कैसल
शिमला - 171 003



Office of the Principal Accountant General (Audit)
Himachal Pradesh,
Gorton Castle, Shimla-171 003

I/1641262/2026

07-10-2026

To,

Sh. Sanjay Kumar,



Subject: Supply of information under Right to Information Act, 2005.

Refer to your application bearing registration No. AGHPS/R/E/26/00059 dated 17.09.2026 submitted under RTI Act, 2005. The requisite information is enclosed herewith as detailed below:

- Point No 1 to 3:
The latest Inspection Report of the Regional Manager, Himachal Road Transport Corporation (HRTC), Karsog, for the period 2019–2023 along with Part-I, Part-II-A, Part-II-B, Part III and Part IV.
- Pont No 4:
The above Inspection Report and its audit findings have not been published for suo-motu disclosure under Section 4(1)(b) and 4(2) of the RTI Act, 2005. Consequently, no web link is available for it.

First appeal under section 19 (1) of the Act can be submitted within 30 days of receipt of this reply, to the First Appellate Authority (FAA).

Digitally signed by
Avnindra Kumar Rai
Date: 07-10-2026
**Dy. Accountant General (Admn.)-cum-
Central Public Information Officer**

Name and Address of the First Appellate Authority:

Shri Purushottam Tiwary,
Principal Accountant General (Audit),
Himachal Pradesh, Shimla 171003

Phone: +91-177-2652607

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Audit & Inspection Report on the audit of the office of the Regional Manager, Himachal Road Transport Corporation, Karsog Distt. Mandi HP for the period 2019-23

PART-I

(i.) Introduction

The audit of office of the Regional Manager, Karsog Distt. Mandi Himachal Road Transport Corporation, Karsog was conducted from 03/03/2024 to 12/03/2024 by the following members of field audit party of the office of the Pr. Accountant General (Audit), Shimla, Himachal Pradesh.

Name	Designation	Member from	Member till
Priyanka Chaudhary	AAO (ES-Field Party)	03/03/2024	12/03/2024
Abhimanyu Rana	AAO (ES-Field Party)	03/03/2024	12/03/2024

The audit was supervised by the following officers.

Name	Designation	Effective from	Effective to
Abhimanyu Rana	AAO (ES-Field Party)	03/03/2024	12/03/2024

Himachal Road Transport Corporation (HRTC), an undertaking of Government of Himachal Pradesh was formed on 2nd October 1974. The main function of the Corporation is to provide reliable, efficient, economical, comfortable and safe transport facilities to the people residing in the Rural and Urban Areas, through its fleet.

The Regional Office, Karsog was operating a fleet of 39 ordinary buses and 1 staff cab owned by HRTC along with 15 buses under [Jawahar Lal Nehru National Urban Renewal Mission \(JNNURM\)](#) scheme owned by Himachal Pradesh City Transport and Bus Stands Management and Development Authority (HPCT&BSMDA) at the end of March 2023.

(ii) Functional/Geographical jurisdiction

The main function of the Unit is operation of buses under its jurisdiction in the State of Himachal Pradesh and in other States. The Unit has administrative control of establishment, workshop, store and garage under its jurisdiction.

(iii.) Financial Performance

The revenue and expenditures of office of the Regional Manager, HRTC, Karsog for the last three years ending March 2023 were as under:

(in Rs.)

<u>Sl. No.</u>	<u>Source</u>	<u>Years</u>		
		<u>2020-21</u>	<u>2021-22</u>	<u>2022-23</u>

<u>A.</u>	<u>Revenue</u>	<u>35499622</u>	<u>59466630</u>	<u>80748463</u>
<u>B.</u>	<u>Expenses</u>	<u>75588844</u>	<u>86659942</u>	<u>143462683</u>
<u>C.</u>	<u>Net Profit/ (Loss)</u>	<u>-(40089222)</u>	<u>-(27193312)</u>	<u>-(62714220)</u>

The unit operates one current account in HP State Cooperative Bank. The balance as on 31st March 2023 in this account was as follows:

(Rs.)

<u>Sr. No.</u>	<u>Name of the bank</u>	<u>Account Number</u>	<u>Balance as on 31.03.2023</u>
<u>1.</u>	<u>HP State Cooperative Bank- Karsog</u>	<u>[REDACTED]</u>	<u>5.00</u>
<u>2.</u>	<u>HP State Cooperative Bank- Karsog</u>	<u>[REDACTED]</u>	<u>0</u>
<u>3.</u>	<u>Punjab National Bank Karsog</u>	<u>[REDACTED]</u>	<u>154071</u>
<u>4.</u>	<u>HDFC Bank Karsog</u>	<u>[REDACTED]</u>	<u>0</u>
	Total		154076

(iv) The charge of the office for the period covered under audit was held by the following officers.

<u>S. No.</u>	<u>Name of Officer</u>	<u>Designation</u>	<u>Period</u>
<u>1</u>	<u>Sh. Prem Chand</u>	<u>Traffic Manager</u>	<u>12.11.2018 to 20.06.2020</u>
<u>2</u>	<u>Sh. Anil Sharma</u>	<u>Regional Manager</u>	<u>07.07.2020 to 09.09.2020</u>
<u>3</u>	<u>Sh. Govind Chand</u>	<u>Work Manager</u>	<u>09.09.2020 to 29.10.2020</u>
<u>4</u>	<u>Sh. Subhash Ranhotra</u>	<u>Regional Manager</u>	<u>29.10.2020 to 02.05.2022</u>
<u>5</u>	<u>Sh. Piyush Sharma</u>	<u>Regional Manager</u>	<u>05.05.2022 to 14.10.2022</u>
<u>6</u>	<u>Sh. Humesh Kumar</u>	<u>Traffic Manager</u>	<u>14.10.2022 to till date</u>

(v.) Audit objectives: The audit objectives were to assess:-

- a) Whether road tax and other statutory dues were timely paid
- b) whether the approved procedure was followed at the time of placing purchase orders;
- c) Whether the expenditure incurred on establishment was as per the relevant rules; and
- d) Whether the internal control system and monitoring mechanism were efficient, effective and adequate.

(vi.) Audit Criteria: The audit criteria considered for assessing the achievement of audit objectives were:

- a) Relevant Provisions of the manual of the Corporation.
- b) Various orders of Central Govt. /State Govt./Corporation issued from time to time.
- c) Decisions of the Board of Directors (BOD), guidelines approved by BOD and Instructions issued by Govt. of H.P.

(vii.) Scope and methodology of audit: The present audit conducted on the accounts of the office of the RM, HRTC, Karsog for the period 2019-23 covers the activities of operation and performance of buses, repair and maintenance of buses, establishment expenses incurred by the unit and implementation of instructions issued by Head Office. The audit was conducted by Sh. Abhimanyu Rana, Asstt. Audit Officer and Smt. Priyanka Chaudhary, Asst. Audit Officer w.e.f. 04.03.2024 to 11.03.2024.

The methodology adopted for audit consisted of explaining the audit objectives to the Management in the entry conference held on 04.03.2024, examination of records, issue of audit queries and discussion with the management. An exit conference was held with the management on 11.03.2024.

PART-II

(Audit Findings)

PART-II-(A)

(Significant Audit Findings)

NIL

PART-II-(B)

(Other incidental Audit Findings)

Reference Number: OBS-1253354

Subject: Non-payment of Himachal Pradesh Special Road Tax – Rs.62.58 lakh.

[Himachal Pradesh State Government vide Section 3-A of Himachal Pradesh Motor Vehicle Transport \(HPMVT\) Act, 1972 and Himachal Pradesh Vehicle Tax \(Revised\) Act, 1999 imposed Special Road Tax on all transport vehicles specified in column 2 of Schedule III of HPMVT Act, 1972, used or kept for use in Himachal Pradesh. As per the Act, Special Road Tax on transportation services within the State of Himachal Pradesh is required to be paid in advance before 15th of every month by vehicle owners to the Government of Himachal](#)

Pradesh. In case, advance Special Road Tax is not paid within due date, the taxation authority, after giving an opportunity of being heard, shall direct the owner of vehicle to pay the penalty at the rate of 25 per cent per annum of the amount of tax due.

During the test check and audit of records maintained in the Regional Office, HRTC, Karsog it has been observed that the regional office has not paid HPSRT since February 2017. There was an outstanding balance of Rs.62,57,892/- on account of non-payment of HPSRT to the Transport Department as of 31st March 2023. It is pertinent to mention here that HRTC has already collected the above-stated tax from passengers along with the fare, but not deposited it with the concerned Authority.

Failure to deposit the HPSRT (Himachal Pradesh State Road Tax) to the relevant authority as required has led to an accumulation of outstanding payments amounting to Rs.62.58 lakh up to March 2023. Non-payment of the HPSRT will additionally incur penalties according to the pertinent regulations.

In reply to the audit memo the management assured to take corrective action however a detailed reply is still awaited. Necessary action may be taken to pay the tax liability at the earliest under intimation to audit.

Reference Number: OBS-1254694

Subject: Avoidable payment of interest due to delay in payment of retirement benefits and compensation/award Rs.25.66 lakh

As per Pension Rules CCS (Pension) 1972, Death-cum-Retirement Gratuity (DCRG) is payable under sub-rule (1) of Rule 50 of the pension rules. DCRG is a lump sum payment made based on the total service of an employee either on retirement or death. DCRG is calculated as so many months of pay concerning the employee's service. The amount of gratuity will be one-fourth of the monthly emoluments of an officer for each completed six-monthly period of qualifying service subject to a maximum of 16.5 times of the monthly emoluments.

During the audit of the Regional Office, HRTC, Karsog, it was noticed that the Corporation has a lackadaisical approach toward paying retirement benefits i.e. Leave Encashment and Death-Cum Retirement Gratuity (DCRG) to their Employees. The delayed payment of retirement benefits resulted in avoidable payment of interest amounting to Rs.10,71,245/- for Leave Encashment and Rs.14,94,284/- for DCRG which caused financial loss amounting to Rs.25,65,529/- to the Corporation on account of interest on retirement benefits.

In reply to the audit memo, the management assured to take corrective action however a detailed reply is still awaited.

The matter may be taken up with the authorities concerned and timely payment of the said benefits may be ensured to avoid interest payment. Needful may be done under intimation to audit.

Reference Number: OBS-1254695

Subject: Updating Concessional Card Rates for Increased Earnings Rs.3.87 lakh

The Corporation has adopted following discount schemes for the traveling public:

Smart Card Scheme: HRTC has introduced “SMART CARD”. Under this scheme, a smart card holder is allowed 10% concession in fare for traveling in HRTC buses. The general public can purchase the smart card against a payment of Rs. 50/- having its validity for two years.

Green Card Scheme: Under this scheme, the card holder is allowed 25% discount in fare within the radius of 50 kms from place of issue of Green Card or place opted by him. Green Card can be purchased against a payment of Rs. 50/- having its validity for two years.

Samman Card Scheme: HRTC has introduced a “SAMMAN CARD” scheme for Senior Citizens only. Under this scheme, a Samman Card holder allowed 30 % concession in fare in all types of buses except AC and Super Luxury buses. The general public can purchase the samman card against payment of Rs 50/- having its validity for one year.

During the test check of records maintained in the O/o the Regional manager, HRTC, Karsog, it was noticed that a total no. of 17934 Smart/Green/ Samman cards at the rate Rs 50/- per card were issued to travelers during the period 04/2019 to 03/2023 and revenue amounting to Rs.8,96,700/- was collected.

The fare as per notification of Govt of Himachal Pradesh dated 30th September 2013 was Rs.1.45 per km which was increased to Rs.1.75 per km per passenger vide notification dated 29/09/2018 and further increased to Rs.2.19 per km per passenger vide notification dated 22.07/2020 i.e. 51percent increase since 2013. The Corporation has not revised the rates of the concessional cards since the inception of the scheme. However the validity of the cards were reduced from five years to two years in 130th Board of Directors meeting held on 17.07.2015 (with immediate effect).

Had the rates been revised as per the fare revision, the Corporation would have earned Rs.12,84,056/- during period 2019-20 to 2022-23 and increased its revenue by Rs.3,87,356/- during the said period as per details given below:

Year	Fare per km in 2015 (in Rs.)	Revised Fare per km (in Rs.)	Increase in Fare (%)	Amount collected for Cards Issued(Rs.)	Projected Revenue Increase(Rs.)
2019-20	1.45	1.75	20.68	231400	47853.52
2020-21	1.45	2.19	51.03	176450	90042.43
2021-22	1.45	2.19	51.03	237900	121400.37
2022-23	1.45	2.19	51.03	250950	128059.78

Total	<u>896700</u>	387356
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In reply to the audit memo, [the management assured to take corrective action](#) however a detailed reply is still awaited. The matter may be taken up with the concerned authorities under intimation to audit.

Reference Number: OBS-1254697

Subject: Loss due to failure in achieving targeted EPKM Rs.38.27 crore

The financial viability of a Regional office of the Corporation depends upon its Earnings Per kilometre (EPKM). Hence, the headquarters office of the Corporation has fixed EPKM targets for its Regional Offices.

During the audit of the Regional Office, HRTC, Karsog for the period 2019-20 to 2022-23, it was noticed that the office had failed to achieve the [targeted Earning Per Kilo Meter \(EPKM\)](#) during the period 2019-20 to 2022-23 as detailed in [Annexure-A. The failure of the Unit to achieve targeted EPKM resulted in the loss to the tune of Rs. 38,26,64,434.92/- which requires justification.](#)

In reply to the audit memo, [the management assured to take corrective action](#) however a detailed reply is still awaited. Needful may now be done under intimation to audit.

Reference Number: OBS-1254698

Subject: Excess consumption of diesel due to non-achievement of targeted KMPL: Rs.1.14 crore

Fuel cost is a major cost element that contributes a major portion of total expenditure for the Corporation. Therefore, control of fuel cost has a direct bearing on the productivity of a unit. To have check on the excess consumption of diesel by its buses, the Corporation has fixed [targeted Kilo Meter Per Litre \(KMPL\)](#).

During the audit of the Regional Office, HRTC, Karsog for the period 2019-20 to 2022-23, it was observed that the Regional Office could not achieve the targeted Kilo Meter Per Litre (KMPL) during the period 2019-20 to 2022-23 as detailed in the [Annexure-B. The non-achievement of targeted KMPL by the Regional Office resulted in excess expenditure to the tune of Rs.1,13,98,051.31/-](#) on account of higher consumption of diesel. The higher consumption of HSD not only contributed to excess expenditure on account of HSD but also contributed to huge environmental costs with the rise of pollution.

In reply to the audit memo, [the management assured to take corrective action](#) however a detailed reply is still awaited. Needful may now be done under intimation to audit.

Reference Number: OBS-1255707

Subject: Non-conducting of Internal Audit and Physical Verification of assets.

Internal Audit is an integral part of the internal control system of an organization. It is an important tool in the hands of the management which helps in promoting accuracy and reliability in an organization's data. [Para 7 of Chapter II of the Accounting Manual of the Corporation provides that the corporation is subject to an internal concurrent audit conducted by Internal Auditors attached to each unit/sub-unit.](#) The Internal Audit Party is required to conduct the audit of the accounts of each unit twice a year. [However internal audit of the Regional Office, Karsog was not conducted for the period after 31.12.2019.](#) Thus, this was indicative of inadequate monitoring, which would have contributed to the long delays in the execution of work and lack of timely action.

[It was further noticed that physical verification of assets shown in the books of Regional Office Karsog was not conducted for the period after 12.11.2021.](#) Thus, in the absence of the physical verification report excess/shortage if any, could not be commented upon. The reasons for the same were not on record.

In reply to the audit memo, [the management assured us to take corrective action](#), however, a detailed reply is still awaited. Needful may now be done under intimation to audit.

Reference Number: OBS-1255708

Subject: Non installation of Effluents Treatment Plant (ETP) and Absence of Consent to Operate an industrial Unit

[Effluents Treatment Plant\(ETP\) is a process designed for treating industrial wastewater for its reuse or safe disposal to the environment. ETP is required to clean industry effluent and recycle it for further use, to reduce the usage of fresh/potable water in Industries, to cut expenditure on water procurement, to meet the standards set for emission or discharge of environmental pollutants from various industries set by the government and avoid hefty penalties and safeguard the environment against pollution and contribute in sustainable development.](#)

[As per the provisions of the Environment \(Protection\) Act, 1986 and Water \(Prevention & Control of Pollution\), Act 1974, industrial units are required to install effluent treatment plants \(ETPs\) and treat their effluents to comply with stipulated environmental standards before discharging into river and water bodies.](#)

[During the test check and scrutiny of records maintained in the O/o the Regional Manager, HRTC, Karsog for the period 2019-20 to 2022-23, it has been noticed that the Effluent](#)

Treatment Plant (ETP) has not been installed in the regional workshop since its establishment and a stream of water (Khad) flows adjacent to it.

Further scrutiny revealed that the workshop of the regional office has not obtained consent to operate an industrial unit u/s 25/26 of (Prevention and Control of Pollution) Act, 1974 from the HP Pollution Control Board (HPPCB).

The absence of an Effluent Treatment Plant (ETP) leads to the discharge of untreated effluents, thereby causing significant environmental pollution. As a consequence, there is a risk of facing penalties imposed by the HP Pollution Control Board for non-compliance. Immediate action is imperative to establish the ETP (Effluent Treatment Plant), institute adequate pollution control measures to prevent further environmental damage and consent to operate as an industrial unit may be obtained from the concerned authorities.

In response to the audit memo, the management assured to take corrective action however a detailed reply is still awaited. Needful may now be done under intimation to audit.

Reference Number: OBS-1256062

Subject: Loss of revenue due to delay in revision of passenger fare Rs.0.05 lakh

The main source of revenue of the Corporation is the collection of passenger fares by operation of buses. Therefore, it is of utmost importance that the Himachal Road Transport Corporation should implement the revised fares of different States with immediate effect.

The Regional Office, Karsog operates various bus services which travel through different States such as Punjab, Uttar Pradesh, Uttarakhand, etc. Each state fixes the fare of passengers per seat (based on the category of buses) which should have been implemented/adopted immediately for the buses plying in that region so that no loss is suffered on the fare collection from passengers.

Audit observed that while adopting the revised fares of different states, the management did not implement the same with immediate effect and the delay in implementing the same ranged between 07 to 113 days during the period 2019-20 to 2022-23 detail of which is given below:

S r. N o.	Region	Date of notification by the State	Date of implementation by the Corporation	Fare Collected	Old Fare	New Fare	Delay in implementation (no. of days)	Fare Hike	Avoidable loss (Rs)
1	Punjab	01.01.2020	31.01.2020	41999	1.14	1.16	30	0.02	736
2	Punjab	30.06.2020	21.10.2020	2161	1.16	1.22	113	0.06	111.77

3	Uttarka hand	22.02.2020	29.02.2020	9798	0. 8 6	1. 26	7	0. 40	4557. 20
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Thus, the delay in implementation of the revised fares of different states as stated above resulted in an avoidable loss of revenue of Rs.5,405/- to the Corporation. It was observed that the head office of the Corporation circulated the notifications of the states with delay due to which the revised fares could not be implemented with immediate effect. The Corporation needs to devise a mechanism to avoid such delays as the collection of fares is the most important source of revenue for the Corporation.

In response to the audit memo, [the management assured to take corrective action](#) however, a detailed reply is still awaited. Needful may now be done under under intimation to audit.

Reference Number: OBS-1256065

Subject: Avoidable expenditure due to oversight during the Initial stages of building design: Rs. 1.56 Lakh

The Bus Stand in Karsog was constructed by HP City Transport and Bus Stands Management and Development Authority Shimla, Himachal Pradesh and [it was inaugurated on 18/09/2022](#). The total area of the bus stand is 0.32 hectares. [An amount of Rs. 1,98,84,144/- was allocated for the construction of the New Bus Stand at Karsog, covering various aspects including Civil Work, Water Supply & Sanitation and Electrical Installation, among others.](#) However, it has come to light that despite the meticulous planning and execution, an oversight occurred during the design phase regarding the provision of a septic tank. No provision was made for a septic tank of appropriate size to accommodate the building's needs and [in the later stages, the required space for the septic/sewage tank was not available. Consequently, the Regional Office took the necessary steps by communicating with the Revenue Department to seek permission to rebuild and connect a septic tank adjacent to the Bus Stand, which was under the ownership of the Nagar Panchayat.](#)

Subsequently, [an agreement was made between HRTC Karsog and the Nagar Panchayat, wherein consent was granted to link the toilets of the Bus Stand with the septic tank owned by the Nagar Panchayat. However, this approval was contingent upon HRTC constructing two additional toilets for the Nagar Panchayat, with the expenses for their construction and the septic tank borne by HRTC.](#)

Further scrutiny revealed that bills amounting to [Rs. 85,550/-](#) and [Rs.70,220/-](#) were incurred for the cleaning and emptying of the septic tank at the Bus Stand on separate occasions. This has occurred within a span of two years and four months. The lack of planning not only resulted in additional expenses to be borne by HRTC on the construction of additional toilets

for the nagar panchayat but sludge accumulation over the years in the septic tank resulting in its frequent filling up. A new septic tank would not only have necessitated less frequent emptying but also provided a longer duration before requiring maintenance.

In this regard, an audit memo was issued however a response is still awaited. Needful may be done under intimation to audit.

Reference Number: OBS-1288982

Subject: Audit Fee Rs. 80950

A sum of Rs. 80,950/- (Rs. Eighty Thousand Nine Thousand Fifty Only) being audit fees for the year 2019-2020 to 2022-2023 may please be remitted to the O/o Principal Accountant General (Audit), Himachal Pradesh, Shimla-171003 through bank draft at the earliest.

PART-III

(Follow up on findings outstanding of previous Inspection Reports)

PART-IV (Best Practice)

Audit & Inspection Note for the period 2017-19

Para 1: Non-payment of Himachal Pradesh Special Road Tax: Rs. 27.38 lakh

Para has been updated in current Inspection Report as OBS- 1253354. Hence, deleted from here.

Para:2 Ineffective utilization due to idling of JNNURM buses

Compliance awaited. Hence, para stands.

Para 3: Avoidable expenditure incurred on overtime allowance due to non utilisation of optimum services in respect of contractual drivers: Rs. 1.84 lakh

Compliance awaited. Hence, para stands.

Para 4: Excess expenditure on payment of toll tax due to non fixation of FASTag on buses: Rs. 1.19 lakh

Compliance awaited. Hence, para stands.

Para 5 : Blockade of funds due to non utilization of Smoke Detector Machine

Compliance awaited. Hence, para stands.

Para 6: Premature failure of retreaded tyres resulted in extra expenditure: Rs. 4.94 lakh

Compliance awaited. Hence, para stands.

Para:7 Premature failure of gear boxes resulted in extra expenditure: Rs. 0.85 lakh

Compliance awaited. Hence, para stands.
Para:8(A) Non-recovery of outstanding dues: Rs.1.60 lakh
Compliance awaited. Hence, para stands.
Para:8(B) Non-conducting of internal audit
[Compliance made. Hence, a para is settled.](#)
Para:9 Audit Fees: Rs. 99,828

Compliance awaited. Hence, para stands.

Part- IV Best Practices

During the period of audit of the Regional Office, HRTC, Karsog no specific achievement was observed by the Audit.

PART-V (Acknowledgement)

The Regional Manager, HRTC, Karsog, Distt. Mandi Himachal Pradesh extended his full cooperation during the audit for the period 04/2019 to 03/2023. He also directed the staff members under his control for early production of records and reply of audit memos issued during audit. The audit observations were discussed in the exit conference and all minor irregularities noticed during the course of audit were also discussed and settled on the spot. The Regional Manager assured for an early compliance of the audit observations raised by the audit party. The meeting was held in a cordial manner. The audit party thanked him for the co-operation extended during the course of audit.

Facts seen discussed and verified.

Sd/-

**Regional Manager, HRTC, Karsog,
Distt. Mandi Himachal Pradesh**

-sd/-

Sr. Audit Officer